

Gender, Ideology, and Fiscal Policy

Evidence from Finance Ministers Across a Global Panel

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Introduction

Research Question

Do women Finance Ministers produce different fiscal outcomes from men, and are those differences driven by gender or by partisan ideology?

Motivation

- Women hold only 22% of cabinet posts globally
- Left leaning parties appoint more women: gender effect or a party effect?
- Women are disproportionately appointed during fiscal crises (*glass cliff*)

Data

Three Sources

Source	Content	Coverage
WhoGov	Finance ministers: gender, party, tenure	177 countries, 1963–2023
GLID	Head-of-government ideology	178 countries, 1945–2020
IMF WEO	Fiscal, primary, and structural balance	196 countries, 1980–2023

Ideology Variable

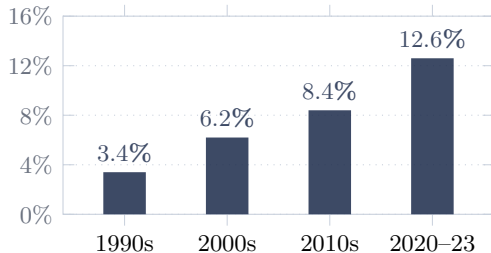
Coded 1 (far left) to 5 (far right), 6 = independent/technocrat.

Sample

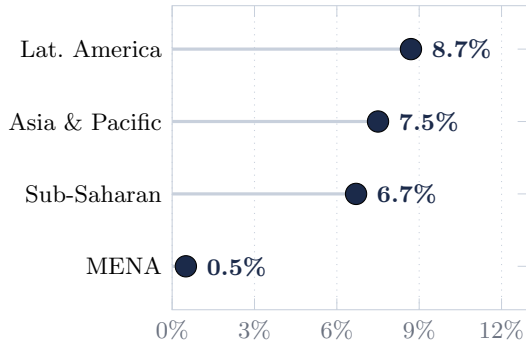
173 countries · 5,730 country-years · 1990–2023.

Women FM Representation

Women FM Share by Decade



Regional Distribution of Women FMs



Method

Core challenge: Women are appointed during fiscal crises (glass cliff

Step 1 — TWFE Baseline $Y_{it} = \beta_1 \text{FemaleFM}_{it} + X'_{it}\gamma + \alpha_i + \lambda_t + \varepsilon_{it}$. Country and year fixed effects.

Step 2 — Just-ID IV IV_1 : deviation of a country's cabinet female share from its regional-decade peer mean.

Step 3 — Over-ID IV IV_2 : FM age at appointment.

Instrument diagnostics: KP $F = 13.65 > \text{Stock-Yogo } 15\%$ · Hansen J $p = 0.912$ (joint validity not rejected).

Findings: TWFE Baseline

TWFE Baseline

	Fiscal Balance (% GDP)		Primary Balance (% GDP)		Structural Balance (% GDP)	
	No controls	Controls	No controls	Controls	No controls	Controls
Female FM	-0.028	+0.516	+0.084	+0.558	+0.682	+0.704
SE	(0.371)	(0.522)	(0.418)	(0.553)	(0.526)	(0.716)
FM Ideology	—	+0.021	—	+0.029	—	+0.122
SE		(0.104)		(0.106)		(0.120)
Female FM × Ideology	—	-0.008	—	+0.018	—	+0.475
SE		(0.567)		(0.565)		(0.665)
<i>N</i>	5,048	3,938	4,910	3,839	2,206	1,875

Country and year fixed effects throughout.

Findings: IV Results

IV Results: Monotonic Identification Sequence

Specification	Fiscal Balance (% GDP)	Primary Balance (% GDP)	KP F
TWFE (country + year FE)	+0.516 (0.522)	+0.558 (0.553)	—
Just-ID IV (IV ₁ , region + year FE)	+3.510 (4.910)	+2.450 (3.936)	15.13
Over-ID IV (IV ₁ + IV ₂)	+6.420* (3.468)	+3.035 (2.857)	13.65
FM Ideology (TWFE)	+0.021 (0.104)	+0.029 (0.106)	—
Female FM × Ideology (TWFE)	−0.008 (0.567)	+0.018 (0.565)	—
Hansen J p -value		0.912	

* $p < 0.10$. KP $F = 13.65 > \text{Stock-Yogo } 15\% \text{ c.v. } (11.59)$. Hansen J $p = 0.912$: joint instrument validity not rejected.

Robustness Checks

Sample Restrictions : Fiscal Balance

Restriction	Coeff.
Drop MENA (near-zero treatment)	+0.420
2000–2023 only	+0.394
Drop COVID years (2020–21)	+0.557
Drop single-FM countries	+0.623

Coefficient positive and stable across all restrictions (0.39–0.62). No restriction produces a negative sign.

What Did We Learn?

1. Gender matters for fiscal discipline.
2. FM ideology has no predictive power within countries over time.
3. The glass cliff creates systematic measurement error.
4. Next step: Better IV, Explore Men FMs.

Thank You

Questions ?